MGT411 McQs from Money, Banking and Financial Markets, 2/e 100% sure Answers(P)

Quiz # 31

Q#1
The three branches of the Federal Reserve System include each of the following EXCEPT the:

A) Board of Governors.

B) Federal Open Market Committee.

C) Comptroller of the Currency.

D) twelve regional Reserve Banks.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#2
The Federal Reserve was created in:

A) 1939.

B) 1919.

C) 1929.

D) 1913.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#3
Currently the requirement of holding a non-interest earning reserve account at the Fed must be met by:

A) only nationally chartered banks.

B) only member banks.

C) member banks and non-member banks over $100 million in assets.

D) all banks, member or not.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#4
The Federal Reserve Districts are a product of:

A) economic and political forces as well as population distribution.

B) solely economic forces that existed at the time of the Federal Reserve Act.

C) economic and political forces that existed at the time the Fed was formed.

D) solely population distribution at the time of the Federal Reserve Act.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#5
In its role as the *government's bank*, the Federal Reserve performs all of the following services EXCEPT:

A) issue new currency.

B) manage U.S. Treasury borrowings.

C) maintain the U.S. Treasury's bank account.

D) provide discount loans.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

http://groups.google.com/group/vuZs/web/mba

Q#6
Open market operations are conducted at the ____ Fed.

A) New York

B) Richmond

C) Chicago

D) San Francisco

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#7
Buying and selling U.S. Treasury Securities for the Fed's own portfolio is called:

A) managing the Treasury account.

B) discount buying.

C) open market operations.

D) reserve adjustment.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#8
The largest Federal Reserve District geographically is serviced by:

A) the Reserve Bank in New York.

B) the Reserve Bank in Chicago.

C) the Reserve Bank in San Francisco.

D) None of the above, since the districts are divided fairly equally geographically.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#9
Current law regarding the Fed's Board of Governors stipulates that:

A) no more than one governor can come from the same district.

B) no more than two governors can come from the same district.

C) every district must have at least one governor on the board.

D) no more than three governors can come from the same district.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#10
The permanent voting members on the FOMC include the:

A) President of the New York Fed.

B) Secretary of the Treasury.

C) President of the Federal Reserve Bank of Atlanta.

D) Director of the FDIC.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

http://groups.google.com/group/vuZs/web/mba

Q#11
The federal funds rate is the interest rate:

A) the Fed charges banks who borrow from them.

B) the U.S. Treasury charges banks that need emergency funds.

C) banks charge each other for overnight loans of their excess reserves at the Fed.

D) the FDIC charges banks who need to borrow from them to meet depositor demands.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#12
The FOMC controls the *real* interest rate:

A) if inflation is slow to adjust.

B) if inflation changes quickly.

C) only if they adjust the federal funds rate by an amount greater than the change in the rate of inflation.

D) None of the above.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#13
FOMC meetings would best be described as:

A) fairly formal sessions with not much give and take.

B) an informal meeting with the Chairman as a passive observer.

C) informal meetings with significant give and take among participants.

D) a press conference, where the financial press can ask questions regarding the Fed's view of the economy.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#14
Which statement best completes the following sentence; "The U.S. dollar is to the fifty states as the euro is to the _____."

A) European Central Bank

B) European System of Central Banks

C) National Central Banks

D) euro area

Feedback:

LOD: 2
The European Central Bank.

Q#15
The Agreement to form a European monetary union was formalized in the Treaty of:

A) Milan.

B) Paris

C) Versailles.

D) Maastricht.

Feedback:

LOD: 1
The European Central Bank.

http://groups.google.com/group/vuZs/web/mba

Q#16
One key difference concerning the communications from the Fed's FOMC and the European System's Governing Council is that the:

A) president and vice-president of the Governing Council hold a news conference after their regular monthly meetings; the leaders of the FOMC hold no such conference.

B) leaders of the FOMC answer questions from the financial press immediately after their meetings

C) Governing Council meetings are open to the public; the FOMC meetings are not.

D) the Chairman of the Fed lets his position be known before the FOMC meeting, where the President of the Governing Council does not.

Feedback:

LOD: 2
The European Central Bank

Quiz # 32

Q#1
The U.S. Federal Reserve system was created in response to:

A) pressure from banks for more regulatory control over their actions.

B) demand from the U.S. Treasury for the introduction of a national currency (to replace the banknotes that were issued by state-chartered banks

C) into the 1920s).

D) a series of 21 financial panics between 1870 and 1920.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#2
Which of the following banks must belong to the Federal Reserve System?

A) all commercial banks

B) all savings banks

C) all nationally chartered banks

D) all state chartered banks

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#3
As a result of a 1980 change in banking law, state-chartered banks that are not members of the Federal Reserve system now:

A) may hold their reserves in interest-bearing securities instead of in non-interest-bearing deposits at the Fed.

B) have the same reserve requirements as member banks.

C) receive lower interest rates on reserve holdings than do member banks.

D) may no longer hold reserves at the Fed.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#4
The boundaries of the Federal Reserve Districts:

A) are altered every 5 years to reflect changing population density patterns in the U.S.

B) were set in 1914.

C) are altered every 5 years so that there are approximately an equal number of banks in each Federal reserve District.

D) change annually in response to changing economic and population patterns.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#5
The 12 Federal Reserve Banks that make up the Federal Reserve System are:

A) federally chartered banks.

B) private, non-profit organizations.

C) owned by the commercial banks in their districts.

D) All of the above are correct.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

http://groups.google.com/group/vuZs/web/mba

Q#6
As the bank for the U.S. government, the Federal Reserve:

A) issues new currency and destroys old currency.

B) maintains bank accounts for the U.S. Treasury.

C) manages U.S. Treasury borrowings.

D) All of the above are correct.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#7
As a bankers' bank, the Federal Reserve Banks of the Federal Reserve System:

A) hold reserve deposits for banks in their districts.

B) provide check-clearing and electronic fund transfer services.

C) provide discount loans.

D) All of the above are correct.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#8
The largest Federal Reserve District (in terms of geographical size) is serviced by the:

A) New York Fed.

B) Atlanta Fed.

C) Dallas Fed.

D) San Francisco Fed.

Q#9
The discount rate today is, in practice, most directly set by the:

A) FOMC.

B) President of the New York Fed.

C) U.S. President.

D) Comptroller of the Currency.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#10
One of the factors designed to help provide autonomy for the Fed is:

A) a 14-year nonrenewable term for members of the Board of Governors.

B) lifetime appointment for members of the Board of Governors.

C) that the U.S. Constitution prohibits congressional control of the Fed.

D) that the Fed is owned and controlled by the member banks, guaranteeing that the Fed engages in actions that benefit these banks.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

http://groups.google.com/group/vuZs/web/mba

Q#11
Which of the following is *not* one of the duties of the Board of Governors?

A) setting the reserve requirement

B) administering consumer credit laws

C) supervising and regulating the Federal Reserve District Banks

D) establishing the exchange rate between the dollar and other currencies

Q#12
The interest rate that the FOMC most directly attempts to control is the:

A) prime rate.

B) federal funds rate.

C) mortgage interest rate

D) student-loan interest rate.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#13
The Fed may stimulate the economy by:

A) raising the real interest rate.

B) **lowering the real interest rate**.

C) lowering the nominal interest rate, even if the real interest rate rises.

D) None of the above is correct.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

Q#14
Under normal circumstances, the FOMC meets to establish monetary policy:

A) once a week.

B) **roughly every six weeks**.

C) every six months.

D) once a year.

Feedback:

LOD: 1
The Structure of the Federal Reserve System.

Q#15
The policy objectives provided by Congress to the Fed:

A) provide a detailed statement of specific policy targets for inflation, unemployment, and economic growth.

B) require that the Fed focus its efforts solely on maintaining a low inflation-rate target.

C) require the Fed to focus solely on maintaining a low unemployment rate.

D) only state broad policy objectives, but do not provide specific policy targets.

Feedback:

LOD: 2
The Structure of the Federal Reserve System.

http://groups.google.com/group/vuZs/web/mba

Q#16
Monetary policy in the countries that participate in the European Monetary Union is determined by the:

A) Federal Reserve Board of Governors.

B) Parliaments of each of the member countries.

C) central banks for each of the member countries, each of which pursues a separate monetary policy.

D) the European Central Bank.

Feedback:

LOD: 1
The European Central Bank.

Q#17
The actual implementation of monetary policy in the European Monetary Union is conducted by the:

A) central banks of the member countries.

B) European Central Bank.

C) FOMC.

D) Treasuries of the Member nations.

Feedback:

LOD: 1
The European Central Bank